Ratan said that within the next three to five years, the company aimed to ‘expand its operations to a national level’. As it was getting ready to ‘pursue several ROW opportunities in other states’, he was hopeful that the company would ‘go in for a broadband backbone throughout the country along with other companies’.

After the merger, the new entity boasted ‘an asset base of Rs 6,194 crore, a net worth of Rs 2,589 crore, and a book value of Rs 115 per share’. A business journal reported that this ‘financial muscle’ would ultimately help the company ‘negotiate strategic alliances’ or bid for ‘independent power projects’. Commenting on the merger, Adi Engineer told the same journal, ‘We want to reposition ourselves as a power and related infrastructure company.’

One of Ratan’s new areas of interest was the LNG sector, in which he said that the company should have a ‘long-term strategic interest’. Subsequently, the Gas Authority of India Limited (GAIL) also picked up a 33.33 per cent in the Trombay JV.

Pursuing his declared policy of gaining a leadership position by merging, scaling and looking beyond India for expansion opportunities, in the same year Ratan announced that Tata Power would pick up a 30 per cent stake in the 1000 MW Mangalore Power Project for Rs 520 crore. He also added that as part of its ‘international operations’ the company was ‘looking at various overseas projects, mainly in the Middle East’.

In order to capitalize on the various processes of the electrical power industry, Ratan sought to move into the power distribution segment. In an interview with the *Financial Times*, he explained, ‘The problem with power is either you should get the distribution of power within your control, or, if you don’t, you need a so-called power purchase agreement with the state electricity board, which provides you with assured payment. This has been one of the greatest deterrents to many of the power projects taking off.’

In 2000, to consolidate the Tata Group’s energy business, Tata Power acquired Tata Petrodyne Limited, an oil-and-gas exploration company, for Rs 145 crore. The acquisition established Tata Power in three core sectors of India’s economy—energy, power and communication infrastructure.

After seriously pursuing its plan to be more involved in the entire processes of the electrical power industry, Tata Power signed a landmark deal with the Delhi government for power distribution, known as Tata Power–DDL. It acquired management control through a 51 per cent stake of